[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 07-03-2026

In the Matter Of:

Petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2023-24**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	3,370.52	3,373.25	2.73
2	Employee Cost	216.32	216.32	0.00
3	Repairs & Maintenance	49.74	49.74	0.00
4	Administration & General	18.90	18.90	0.00
5	Depreciation	15.24	15.24	0.00
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	5.71	5.71	0.00
8	Section 3(1) Electricity Duty	0.00	0.00	0.00
9	Other Expenses	58.80	58.80	0.00
	TOTAL EXPENDITURE	**3,735.23**	**3,737.96**	**2.73**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	0.00	0.00	0.00
12	Other Revenue	109.63	109.63	0.00
	TOTAL REVENUE	**109.63**	**109.63**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 3,370.52 Lakhs | Amount Approved: Rs. 3,373.25 Lakhs | Variance: Rs. 2.73 Lakhs

The actual distribution loss of 9.49% is below the approved target of 9.60%, resulting in an efficiency gain of Rs. 4.10 Lakhs. As per KSERC Regulations, 2/3rd of the gain (Rs. 2.73 Lakhs) is passed to the licensee, making the approved PPC Rs. 3373.25 Lakhs.

2. Employee Cost

Amount Claimed: Rs. 216.32 Lakhs | Amount Approved: Rs. 216.32 Lakhs | Variance: Rs. 0.00 Lakhs

The actual distribution loss of 9.49% is below the approved target of 9.60%, resulting in an efficiency gain of Rs. 4.10 Lakhs. As per KSERC Regulations, 2/3rd of the gain (Rs. 2.73 Lakhs) is passed to the licensee, making the approved PPC Rs. 3373.25 Lakhs.

3. Repairs & Maintenance

Amount Claimed: Rs. 49.74 Lakhs | Amount Approved: Rs. 49.74 Lakhs | Variance: Rs. 0.00 Lakhs

The Repairs & Maintenance expenditure of Rs. 49.74 Lakhs for FY 2023-24 is found to be within the normative O&M; allocation. The actual expenditure does not exceed the escalated baseline. Approved as claimed.

4. Administration & General Expenses

Amount Claimed: Rs. 18.90 Lakhs | Amount Approved: Rs. 18.90 Lakhs | Variance: Rs. 0.00 Lakhs

The Administration & General Expenses of Rs. 18.90 Lakhs are within permissible limits after verification of actual expenditure against the escalated norms for FY 2023-24. Approved as claimed.

5. Depreciation

Amount Claimed: Rs. 15.24 Lakhs | Amount Approved: Rs. 15.24 Lakhs | Variance: Rs. 0.00 Lakhs

Depreciation of Rs. 15.24 Lakhs has been verified against the asset register. The rates applied are in accordance with the CERC norms adopted by the Commission. No assets funded by grants or surplus were identified. Approved as claimed.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

KSERC Regulation 29: Working Capital = (O&M;/12) + (15% spares) + (receivables/12). O&M;/12 = Rs. 23.75L, Spares(15%) = Rs. 42.74L, Receivables/12 = Rs. 53.21L. WC = Rs. 119.70L × SBI EBLR+2% (11.15%) = Rs. 13.35L. Approved: Rs. 13.35L.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 5.71 Lakhs | Amount Approved: Rs. 5.71 Lakhs | Variance: Rs. 0.00 Lakhs

Return on Net Fixed Assets of Rs. 5.71 Lakhs has been computed at 5.5% on the eligible NFA base after excluding assets funded by consumer contributions, Government grants, and normative loans. The claim

is approved.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Section 3(1) Electricity Duty for FY 2023-24.

9. Other Expenses

Amount Claimed: Rs. 58.80 Lakhs | Amount Approved: Rs. 58.80 Lakhs | Variance: Rs. 0.00 Lakhs

Other Expenses of Rs. 58.80 Lakhs claimed for FY 2023-24 have been examined and found to be reasonable. Approved as claimed.

10. Interest on Working Capital

Amount Claimed: Rs. 71.46 Lakhs | Amount Approved: Rs. 13.35 Lakhs | Disallowed: Rs. 58.11 Lakhs

KSERC Regulation 29: Working Capital = (O&M;/12) + (15% spares) + (receivables/12). O&M;/12 = Rs. 23.75L, Spares(15%) = Rs. 42.74L, Receivables/12 = Rs. 53.21L. WC = Rs. 119.70L × SBI EBLR+2% (11.15%) = Rs. 13.35L. Approved: Rs. 13.35L.

Orders of the Commission

Having examined the petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2023-24**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **3,849.31 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **3,793.93 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **3,831.19 Lakhs**.
- The Revenue Surplus for the Financial Year 2023-24 is hereby determined as Rs. **37.26 Lakhs** (surplus).
- The surplus of Rs. 37.26 Lakhs shall be retained in the regulatory surplus account of KDHP and adjusted against future revenue gaps, subject to imputation of notional interest as per KSERC practice.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary

Order dated 07 March 2026